BofA SECURITIES

ASMPT

Long-term growth opportunities with TCB on track; reiterate Buy

Reiterate Rating: BUY | PO: 250.00 HKD | Price: 118.30 HKD

Earnings turnaround and 2027-28 growth on track

We reiterate our Buy rating on ASMPT. 3Q results point clearly to an earnings turnaround, and management's long-term guidance remains bullish, based on its advanced packaging equipment business (TCB for HBM and logic). We trim our 2027-28 EPS estimates (-2%) and lower our target P/E to 33x 2027-28E EPS (was 40x) to reflect rising competition with Hanmi Semi (Korea), BESI (Europe), etc. Even so, our new PO of HK$250 (was HK$310) still implies 50%+ upside potential. The 33x is above the 2014-23 long-term historical average of 25x but well below the 2024-25 high (over 100x due to exceptionally low EPS vs the stock rally). We expect ASMPT's 2027-28 EPS to reach upcycle levels (HK$6-9), which should warrant a fair P/E of 30-40x, as seen in 2023.

3Q26 earnings review: bookings hit a record high

ASMPT delivered a strong 3Q26, with revenue of HK$5.25bn (US$669mn), +6% QoQ/+49% YoY, above the midpoint of guidance. Group bookings reached a record HK$8.85bn (US$1.13bn), up 25% QoQ and 138% YoY, implying a book-to-bill ratio of 1.7x, the highest since 1Q21. SEMI bookings rose 31% QoQ, driven by TCB, photonics and flip-chip solutions, while SMT bookings rose 19% QoQ (order pull-ins in 3Q, but could decline QoQ in 4Q). GM was 42.9%, and net profit was HK$690mn (+8% QoQ).

4Q26 guidance: strong YoY growth highlighted

Management guided 4Q26 revenue to US$670-730mn, with the US$700mn midpoint (+5% QoQ/+38% YoY). SMT revenue is expected to grow by a double-digit% QoQ, while semis revenue should remain broadly flat (mainly due to longer lead times). Bookings should remain significantly elevated YoY but decline QoQ from the 3Q record. On margins, management expects semis GM to stay above the mid-40% range vs high-30% for SMT. On TCB, management sees possible timing adjustments in HBM-related demand (more demand for HBM 8-hi than 12-hi in 2027), while logic-related demand could see potential upside from silicon-bridge integration and panel-level packaging. Photonics is emerging as a major growth driver for 0.8T/1.6T network.

Estimates (Dec) (HK$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	345	1,058	1,862	2,709	3,858
EPS	0.83	2.53	4.45	6.47	9.22
EPS Change (YoY)	-51.9%	204.3%	75.5%	45.4%	42.4%
Consensus EPS (Visible Alpha)			3.93	6.43	7.98
Dividend / Share	0.7	1.4	2.2	2.7	3.2
Free Cash Flow / Share	1.8	-0.2	5.3	5.8	8.5
Valuation (Dec)					
P/E	142.1x	46.7x	26.6x	18.3x	12.8x
Dividend Yield	0.6%	1.2%	1.8%	2.3%	2.7%
EV / EBITDA*	31.4x	32.8x	14.1x	11.0x	8.2x
Free Cash Flow Yield*	1.5%	-0.2%	4.4%	4.9%	7.2%

* For full definitions of IQmethod℠ measures, see page 14.

29 October 2026

Equity

Key Changes

(HK$)	Previous	Current
Price Obj.	310.00	250.00
2026E EPS	4.24	4.45
2027E EPS	6.62	6.47
2028E EPS	9.43	9.22
2026E EBITDA (m)	3,236	3,404
2027E EBITDA (m)	4,453	4,370
2028E EBITDA (m)	6,030	5,909

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Stock Data

Price	118.30 HKD
Price Objective	250.00 HKD
Date Established	28-Oct-2026
Investment Opinion	C-1-7
52-Week Range	68.59 HKD-244.40 HKD
Mrkt Val / Shares Out (mn)	6,325 USD / 419.4
Market Value (mn)	49,616 HKD
Average Daily Value (mn)	39.03 USD
Free Float	75.2%
BofA Ticker / Exchange	ASMVF / HKG
Bloomberg / Reuters	522 HK / 0522.HK
ROE (2026E)	10.6%
Net Dbt to Eqty (Dec-2025A)	-13.1%

HBM: High bandwidth memory
GM/OPM: Gross/OP margin
SMT: Surface-mount tech - equipment to input chips/components on circuit board
TCB: Thermal compression bonding

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Refer to important disclosures on page 16 to 18. Analyst Certification on page 13. Price Objective Basis/Risk on page 13.

iQprofile℠ ASMPT

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(HK$ Millions)					
Sales	13,229	14,146	19,651	27,226	37,619
Gross Profit	5,289	5,354	8,142	11,350	16,112
Sell General & Admin Expense	(2,654)	(2,657)	(3,150)	(3,545)	(3,871)
Operating Profit	827	812	2,784	3,762	5,294
Net Interest & Other Income	(325)	375	(143)	(140)	(140)
Associates	NA	NA	NA	NA	NA
Pretax Income	502	1,187	2,640	3,622	5,154
Tax (expense) / Benefit	(159)	(129)	(782)	(906)	(1,289)
Net Income (Adjusted)	345	1,058	1,862	2,709	3,858
Average Fully Diluted Shares Outstanding	415	417	419	419	419
Key Cash Flow Statement Data					
Net Income	345	1,058	1,862	2,709	3,858
Depreciation & Amortization	707	655	621	608	614
Change in Working Capital	(117)	(1,379)	296	(282)	(324)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	149	0	(3)	8	8
Cash Flow from Operations	1,084	335	2,776	3,043	4,156
Capital Expenditure	(353)	(423)	(575)	(600)	(600)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(304)	0	0	0	0
Cash Flow from Investing	(657)	(423)	(575)	(600)	(600)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(468)	(241)	(876)	(919)	(1,211)
Cash Flow from Financing	(351)	336	(1,207)	(945)	(1,238)
Free Cash Flow	731	(88)	2,201	2,443	3,556
Net Debt	(1,737)	(2,272)	(3,161)	(4,659)	(6,977)
Change in Net Debt	605	(536)	(887)	(1,498)	(2,318)
Key Balance Sheet Data					
Property, Plant & Equipment	2,117	2,087	2,034	2,025	2,011
Other Non-Current Assets	6,461	6,567	6,576	6,627	6,680
Trade Receivables	3,771	4,245	5,759	5,754	5,749
Cash & Equivalents	4,418	4,666	5,661	7,159	9,477
Other Current Assets	6,906	8,598	7,929	8,173	8,460
Total Assets	23,673	26,163	27,959	29,738	32,376
Long-Term Debt	2,375	2,250	2,000	2,000	2,000
Other Non-Current Liabilities	1,935	1,892	1,752	1,785	1,819
Short-Term Debt	306	144	500	500	500
Other Current Liabilities	3,766	4,553	5,695	5,651	5,608
Total Liabilities	8,382	8,839	9,946	9,936	9,927
Total Equity	15,292	17,324	18,013	19,802	22,449
Total Equity & Liabilities	23,673	26,163	27,959	29,738	32,376
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	2.8%	3.5%	8.9%	12.2%	15.6%
Return On Equity	2.2%	6.5%	10.6%	14.3%	18.3%
Operating Margin	6.3%	5.7%	14.2%	13.8%	14.1%
EBITDA Margin	11.6%	10.4%	17.3%	16.1%	15.7%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	3.1x	0.3x	1.5x	1.1x	1.1x
Asset Replacement Ratio	0.5x	0.6x	0.9x	1.0x	1.0x
Tax Rate (Reported)	31.8%	10.9%	29.6%	25.0%	25.0%
Net Debt-to-Equity Ratio	-11.4%	-13.1%	-17.5%	-23.5%	-31.1%
Interest Cover	3.9x	1.2x	12.7x	18.8x	26.5x

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 14.

Company Sector

Semiconductor Capital Equipment

Company Description

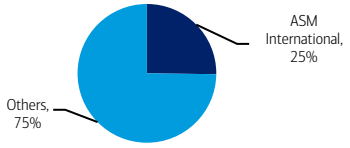
ASM Pacific Technology (ASMPT), founded in 1975 and located/listed in Hong Kong, supplies semiconductor back-end equipment (TCB, etc.) and SMT. ASM International, a NASDAQ-listed supplier of wafer-processing equipment, owns a 25% stake in ASMPT. Management focuses on advanced packaging equipment for not only memory (16-hi or higher, fluxless, hybrid bonding) but also logic (chip-to-wafer).

Investment Rationale

Our Buy rating is based on expectations for a more meaningful earnings turnaround/growth from 1H26 and through 2027-28. ASMPT's TCB will likely be used by more diversified memory/logic chipmakers. Near-term semis equipment orders are mostly front-end centric (wafer fabrication), but back-end capacity expansion and tech spec upgrades (to meet more advanced AI chip demand, e.g., NVIDIA's Rubin Ultra) could allow ASMPT to sell more of its proven TCB (used in both HBM and C2W logic).

Exhibit 1: ASMPT – Ownership structure

ASM International is the largest shareholder (25% stake, according to ASMPT's 2025 annual report)



Source: Company, BofA Global Research

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Stock Data

Price to Book Value	2.8x

Key charts/tables after 3Q26 results

Exhibit 2: Upbeat 3Q results (sales HK$5.2bn – up 43% YoY; GM 42%; OPM 15%; EPS ~HK$1.3 vs negative EPS sin 3Q25). Key contributors should be not only semis equipment (for advanced packaging for logic and memory) but also SMT (newly growing AI server board assembly).
ASMPT – 3Q26 results vs. consensus and our estimate

(HK$, HK$mn)	3Q26						
	Actual	QoQ	YoY	Cons	Act vs cons	Our est	Act vs our est
Sales	**5,247**	**6.3%**	**43.3%**	**5,216**	**0.6%**	**5,138**	**2.1%**
GP	2,209	6%	69%	2,184	1%	2,099	5%
Gross margin	***42.1%***	***-0.3%pt***	***6.4%pt***	***41.9%***	***0.2%pt***	***40.8%***	***1.3%pt***
Opex	1,411	8%	33%	1,452	-3%	1,401	1%
OP	799	2%	230%	733	9%	698	14%
OP margin	***15.2%***	***-0.7%pt***	***8.6%pt***	***14.0%***	***1.2%pt***	***13.6%***	***1.6%pt***
Pretax profit	772	20%	n/a	745	4%	663	16%
Tax	239	5%	n/a	167	43%	166	44%
Eff. tax rate	*30.9%*	*-4.3%pt*	*n/a*	*22.4%*	*8.5%pt*	*25.0%*	*5.9%pt*
Net Income	533	27%	n/a	578	-8%	495	8%
FD. EPS (HK$)	**1.27**	**27%**	**n/a**	**1.32**	**-4%**	**1.18**	**8%**

Source: Company, Bloomberg, BofA Global Research estimates. Act = actual. Cons = consensus. Est = estimate.

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Exhibit 3: 3Q sales guidance (US$670-730mn, US$700mn midpoint) also reveals robust growth of +38% YoY and +5% QoQ
ASMPT – 2026 quarterly earnings; our estimate vs. consensus

(HK$, HK$mn)	1Q26	2Q26	3Q26	4Q26E		
	Actual	Actual	Actual	Our est	Cons	Diff
Sales	**3,967**	**4,936**	**5,247**	**5,502**	**5,059**	**8.8%**
GP	1,566	2,092	2,209	2,274	2,067	10.0%
Gross margin	**39.5%**	**42.4%**	**42.1%**	**41.3%**	**40.9%**	**0.5%pt**
Opex	1,181	1,306	1,411	1,461	1,363	7.2%
OP	385	787	799	813	704	15.6%
OP margin	**9.7%**	**15.9%**	**15.2%**	**14.8%**	**13.9%**	**0.9%pt**
Pre-tax income	445	645	772	778	798	-2.4%
NP (GAAP)	326	421	533	582	585	-0.5%
EPS (GAAP, FD)	**0.78**	**1.00**	**1.27**	**1.39**	**1.34**	**4%**
Shares for FD EPS (mn)	418.3	418.6	418.6	418.6	437.5	-4%
Implied tax rate	27%	35%	31%	25%	27%	-1.5%pt

Source: Company, Bloomberg, BofA Global Research estimates. Act = actual. Cons = consensus. Est = estimate

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Exhibit 4: Our 2026-28 topline growth appear higher than consensus due to ASMPT's optimistic guidance for TCB equipment
ASMPT – 2026-28 annual earnings; our estimate vs. consensus

(HK$, HK$mn)	2025	2026E			2027E			2028E		
	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**14,146**	**19,651**	**18,970**	**3.6%**	**27,226**	**22,571**	**20.6%**	**37,619**	**25,668**	**46.6%**
GP	5,354	8,142	7,843	3.8%	11,350	9,430	20.4%	16,112	10,795	49.3%
Gross margin	**37.8%**	**41.4%**	**41.3%**	**0.1%pt**	**41.7%**	**41.8%**	**-0.1%pt**	**42.8%**	**42.1%**	**0.8%pt**
Opex	4,542	5,358	5,310	0.9%	7,588	5,947	27.6%	10,818	6,346	70.5%
OP	812	2,784	2,533	9.9%	3,762	3,484	8.0%	5,294	4,449	19.0%
OP margin	**5.7%**	**14.2%**	**13.4%**	**0.8%pt**	**13.8%**	**15.4%**	**-1.6%pt**	**14.1%**	**17.3%**	**-3.3%pt**
Pre-tax income	1,187	2,640	2,501	5.6%	3,622	3,534	2.5%	5,154	4,548	13.3%
NP (GAAP)	1,058	1,862	1,819	2.4%	2,709	2,625	3.2%	3,858	3,312	16.5%
EPS (GAAP, FD)	**2.53**	**4.45**	**4.30**	**3%**	**6.47**	**6.23**	**4%**	**9.22**	**8.05**	**14%**
Shares for FD EPS (mn)	417.5	418.6	422.6	-1%	418.6	421.1	-1%	418.6	411.2	2%
Implied tax rate	11%	29%	27%	2.2%pt	25%	26%	-0.5%pt	25%	27%	-2.0%pt

Source: Company, Bloomberg, BofA Global Research estimates. Diff = difference.

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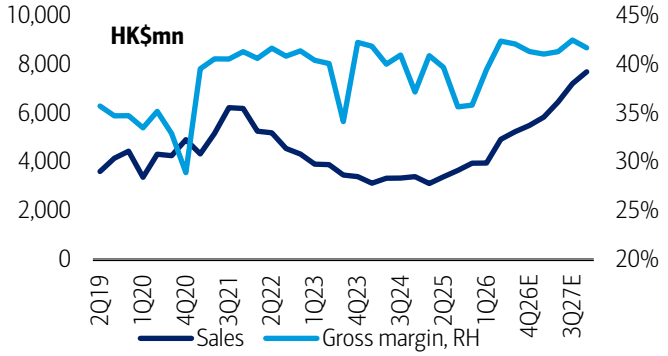
Exhibit 5: Our EPS estimates for 2027-28 are mostly unchanged given our bull-case based forecasts (due to AI boom); 2026 EPS estimate revision (+5%) mostly stemming from upbeat 3Q sales/margins
ASMPT – Estimate revisions (2026-28E)

(HK$, HK$mn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted																
New	0.78	1.00	1.27	1.39	1.39	1.46	1.79	1.83	7.70	6.34	1.73	0.83	2.53	4.45	6.47	9.22
Old	0.78	1.00	1.18	1.27	1.18	1.47	1.96	2.00	7.70	6.34	1.73	0.83	2.53	4.24	6.62	9.43
Difference - %	na	na	8%	9%	18%	-1%	-9%	-9%	na	na	na	na	na	5%	-2%	-2%
Dividend/share																
New	0.0	1.0	0.0	1.2	0.0	1.0	0.0	1.7	3.9	3.2	1.4	0.7	1.4	2.2	2.7	3.2
Old	0.0	1.0	0.0	1.2	0.0	1.0	0.0	1.7	3.9	3.2	1.4	0.7	1.4	2.2	2.7	3.2
Difference	na	na	nm	0%	nm	0%	nm	0%	na	na	na	na	na	0%	0%	0%
Shares for FD EPS																
New	418	419	419	419	419	419	419	419	412	413	413	415	417	419	419	419
Old	418	419	419	419	419	419	419	419	412	413	413	415	417	419	419	419
Difference - %	na	na	0%	0%	0%	0%	0%	0%	na	na	na	na	na	0%	0%	0%
Sales																
New	3,967	4,936	5,247	5,502	5,846	6,461	7,216	7,702	21,948	19,363	14,697	13,229	14,146	19,651	27,226	37,619
Old	3,967	4,936	5,138	5,652	6,059	6,543	7,325	7,838	21,948	19,363	14,697	13,229	14,146	19,692	27,765	38,424
Difference - %	na	na	2%	-3%	-4%	-1%	-1%	-2%	na	na	na	na	na	0%	-2%	-2%
Gross margin																
New	39.5%	42.4%	42.1%	41.3%	41.1%	41.3%	42.5%	41.7%	40.6%	41.1%	39.3%	40.0%	37.8%	41.4%	41.7%	42.8%
Old	39.5%	42.4%	40.8%	40.9%	41.6%	41.7%	42.9%	42.1%	40.6%	41.1%	39.3%	40.0%	37.8%	41.0%	42.1%	43.2%
Difference - %pt	na	na	1.3%	0.4%	-0.5%	-0.4%	-0.4%	-0.4%	na	na	na	na	na	0.4%	-0.4%	-0.3%
OP																
New	385	787	799	813	815	851	1,038	1,057	4,275	3,359	1,287	827	812	2,784	3,762	5,294
Old	385	787	698	746	697	860	1,133	1,154	4,275	3,359	1,287	827	812	2,616	3,845	5,415
Difference - %	na	na	14%	9%	17%	-1%	-8%	-8%	na	na	na	na	na	6%	-2%	-2%
OP margin																
New	9.7%	15.9%	15.2%	14.8%	13.9%	13.2%	14.4%	13.7%	19.5%	17.3%	8.8%	6.3%	5.7%	14.2%	13.8%	14.1%
Old	9.7%	15.9%	13.6%	13.2%	11.5%	13.2%	15.5%	14.7%	19.5%	17.3%	8.8%	6.3%	5.7%	13.3%	13.8%	14.1%
Difference - %pt	na	na	1.6%	1.6%	2.4%	0.0%	-1.1%	-1.0%	na	na	na	na	na	0.9%	0.0%	0.0%
Net non-op expense																
New	-60	141	27	35	35	35	35	35	183	-54	251	325	-375	143	140	140
Old	-60	141	35	35	35	35	35	35	183	-54	251	325	-375	151	140	140
Difference	na	na	-23%	0%	0%	0%	0%	0%	na	na	na	na	na	-5%	0%	0%
Tax rate - effective																
New	27.2%	35.3%	30.9%	25.0%	25.0%	25.0%	25.0%	25.0%	22.4%	23.3%	31.3%	31.8%	10.9%	29.6%	25.0%	25.0%
Old	27.2%	35.3%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	22.4%	23.3%	31.3%	31.8%	10.9%	28.1%	25.0%	25.0%
Difference - %pt	na	na	5.9%	0.0%	0.0%	0.0%	0.0%	0.0%	na	na	na	na	na	1.5%	0.0%	0.0%
NP ex minority int																
New	326	421	533	582	583	610	750	765	3,169	2,620	715	345	1,058	1,862	2,709	3,858
Old	326	421	495	531	495	617	822	837	3,169	2,620	715	345	1,058	1,773	2,771	3,949
Difference - %	na	na	8%	9%	18%	-1%	-9%	-9%	na	na	na	na	na	5%	-2%	-2%
EBITDA																
New	541	942	953	968	968	1,004	1,190	1,208	5,012	4,098	2,001	1,534	1,467	3,404	4,370	5,909
Old	541	942	852	901	850	1,013	1,284	1,306	5,012	4,098	2,001	1,534	1,467	3,236	4,453	6,030
Difference	na	na	12%	7%	14%	-1%	-7%	-7%	na	na	na	na	na	5%	-2%	-2%
Capex spend																
New	138	138	150	150	150	150	150	150	337	422	377	353	423	575	600	600
Old	138	138	150	150	150	150	150	150	337	422	377	353	423	575	600	600
Difference	na	na	0%	0%	0%	0%	0%	0%	na	na	na	na	na	0%	0%	0%
Net debt																
New	-2,583	-2,894	-3,027	-3,161	-3,424	-3,687	-4,173	-4,659	-1,983	-2,013	-2,434	-1,737	-2,272	-3,161	-4,659	-6,977
Old	-2,583	-2,894	-2,983	-3,072	-3,294	-3,516	-4,074	-4,632	-1,983	-2,013	-2,434	-1,737	-2,272	-3,072	-4,632	-7,041
Difference	na	na	1%	3%	4%	5%	2%	1%	na	na	na	na	na	3%	1%	-1%
BVPS - O/S shr based																
New	41.3	41.4	42.3	43.1	43.9	44.8	46.1	47.4	37.2	38.2	38.1	36.7	41.3	43.1	47.4	53.7
Old	41.3	41.4	42.2	42.9	43.6	44.4	45.9	47.3	37.2	38.2	38.1	36.7	41.3	42.9	47.3	53.9
Difference	na	na	0%	0%	1%	1%	1%	0%	na	na	na	na	na	0%	0%	0%

Source: Company, BofA Global Research estimates

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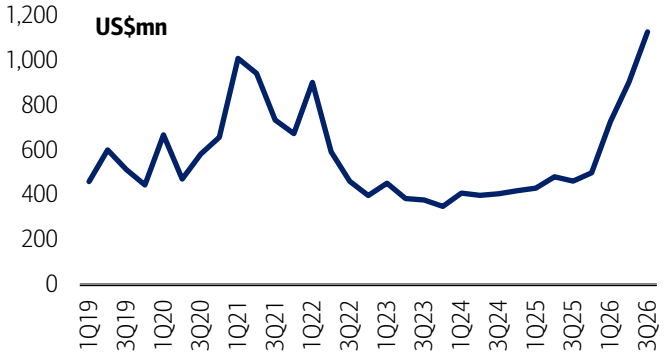
Exhibit 6: We expect higher sales and stable gross margin trend (4%+) to continue in 2026-27E
ASMPT – Quarterly sales and gross margin



Source: Company reports, BofA Global Research estimates

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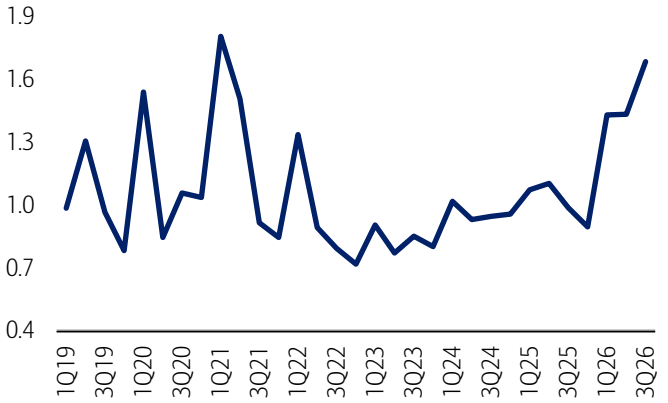
Exhibit 7: Bookings up in 3Q26 (US$1.12bn) vs. 2Q (US$0.9bn) on selling more TCB equipment to memory/logic chipmakers
ASMPT – Quarterly bookings



Source: Company reports

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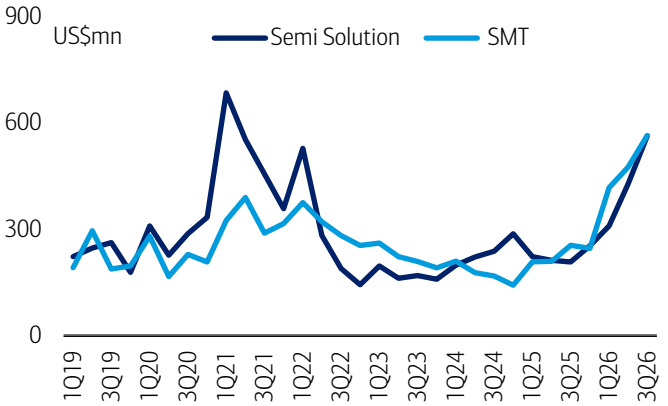
Exhibit 8: Book-to-bill (BB) ratio recovered to 1.7 in 3Q26 vs. 1H26 (sub-1.5) and 2H25 (sub-1.0)
ASMPT – Quarterly book-to-bill ratio for semi equipment



Source: Company reports

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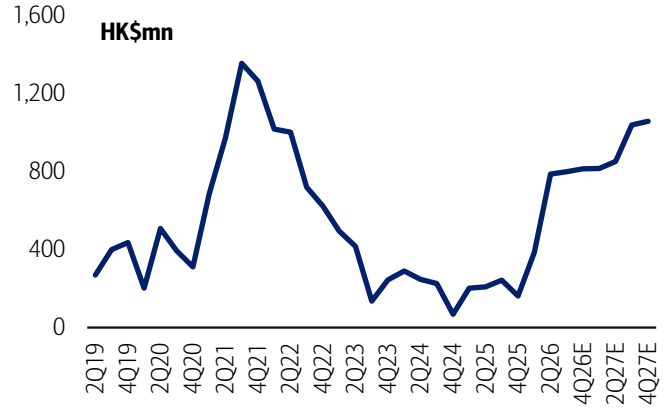
Exhibit 9: TCB (logic/foundry and even HBM) should lead to semis booking increase
ASMPT – Quarterly bookings by segment



Source: Company reports

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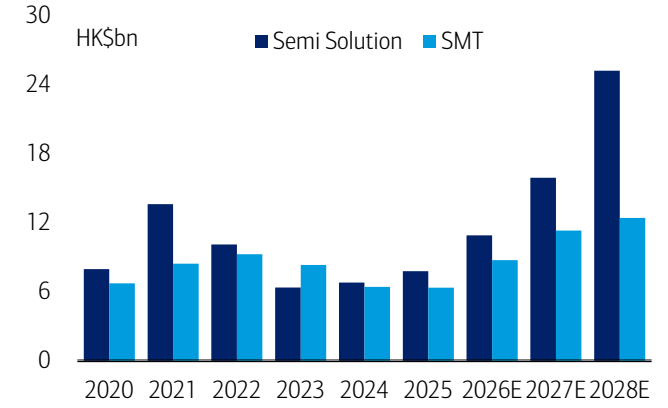
Exhibit 10: We expect steady operating profit (OP) recovery in 2026-28E after 2024-25 bottom
ASMPT – Quarterly operating profit



Source: Company reports, BofA Global Research estimates

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Exhibit 11: Semis-driven topline growth ahead in 2026-28E due to robust demand for TCB; that said, we assume stable SMT growth
ASMPT – Sales by product



Source: Company reports, BofA Global Research estimates

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Exhibit 12: ASMPT saw strong AI-driven demand for TCB, Photonics/CPO and Flip Chip solutions
Summary of ASMPT's major news reported in 2026

Date	Relevant business	News summary
Sep-26	Advanced Packaging / laser dicing	- Highlighted new ALSI LASER1206 for high-precision laser dicing and grooving for advanced memory, logic, AI and power applications - Planar motion platform delivers positioning accuracy of <1.5µm and uses multi-beam UV laser technology - Also showcased TCB, Hybrid Bonding, Photonics and Co-Packaged Optics solutions for AI/HPC applications
Jul-26	Advanced Packaging / TCB	- Secured new bulk orders for more than 50 Chip-to-Substrate TCB tools for advanced AI computing chips from OSAT customers - Orders strengthened ASMPT's C2S TCB position for next-generation larger compound dies - ASMPT estimated TCB total addressable market to expand beyond US$1.6bn by 2028
Jul-26	AI / materials R&D	- Joined CuspAI's AI Materials Foundry as a founding partner alongside an ecosystem of industry and scientific organizations
Apr-26	Advanced Packaging / AI	- 1Q26 bookings increased 72% YoY to US$727mn, with SMT bookings reaching a record level - Revenue increased 32% YoY to US$508mn, while SEMI adjusted gross margin reached 46.4% - Reported broad AI-driven demand across TCB, Photonics/CPO and mainstream platforms - Guided 2Q26 revenue to US$540-600mn, +37% YoY at midpoint
Mar-26	Advanced Packaging / TCB	- FY25 results highlighted continued AI-driven structural growth, with TCB momentum across Logic and Memory applications - Strong TCB demand and AI infrastructure investment supported Advanced Packaging, while SMT bookings benefited from AI servers and China EV demand - Highlighted transformation initiatives aimed at increasing focus on back-end packaging business
Feb-26	Advanced Packaging / TCB	- Secured order for two ultrafine-pitch TCB tools incorporating proprietary plasma Active Oxide Removal technology for Chip-to-Wafer applications - ASMPT reported it was the first to secure HBM4 12H orders from multiple HBM players and was Process of Record for C2S applications - New order expanded TCB AOR adoption into C2W applications for advanced logic and memory
Jan-26	SMT / strategic review	- Initiated assessment of strategic options for SMT Solutions Segment to increase focus on growing Semiconductor Solutions Segment - Options include divestiture, joint venture, spin-off/public listing, or retaining and supporting SMT's strategic development - No decision on any potential transaction had been made at the time of the announcement

Source: Company, BofA Global Research

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Valuation

Exhibit 13: Our PO HK$250 is derived using 33x 2027-28E P/E
ASMPT – Valuation multiples based on the current price and PO

	2024	2025	2026E	2027E	2028E	2027-28E avg
Current multiples (x)						
P/E	**142.1**	**46.7**	**26.6**	**18.3**	**12.8**	**15.6**
P/B	3.2	2.9	2.7	2.5	2.2	2.3
EV/EBITDA	37.1	36.3	13.7	7.8	76.5	42.1
EV/Sales	3.6	3.3	2.4	1.7	1.2	1.5
PO based multiples (x)						
P/E	**300.2**	**98.6**	**56.2**	**38.6**	**27.1**	**32.9**
PBR	6.8	6.0	5.8	5.3	4.7	5.0
EV/EBITDA	80.5	78.6	29.7	16.9	165.7	91.3
EV/Sales	7.7	7.2	5.2	3.7	2.7	3.2

Source: Company reports, BofA Global Research estimates

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Exhibit 14: P/E is in the range of 19-31x; 2014-23 historical average near-25x
ASMPT – Historical valuation multiples

(x)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2014-23 Avg
Based on year-average share price												
P/E	**29.7**	**17.5**	**16.5**	**17.5**	**58.9**	**22.3**	**13.2**	**10.5**	**41.7**	**107.5**	**25.9**	**24.7**
P/B	**3.5**	**2.8**	**3.8**	**3.2**	**3.1**	**2.7**	**2.7**	**1.7**	**1.9**	**2.4**	**1.6**	**2.9**
EV/EBITDA	14.9	10.3	11.9	11.0	18.8	16.4	8.3	6.5	15.2	28.1	19.3	12.6
EV/Sales	2.2	1.8	2.5	2.0	2.4	2.1	1.8	1.3	1.9	2.7	1.8	2.0
Based on year-high share price												
P/E	**37.6**	**23.0**	**20.2**	**22.2**	**73.3**	**30.1**	**17.0**	**13.8**	**48.4**	**140.3**	**37.6**	**30.9**
P/B	**4.5**	**3.7**	**4.7**	**4.0**	**3.9**	**3.7**	**3.5**	**2.3**	**2.2**	**3.2**	**2.3**	**3.7**
EV/EBITDA	18.8	13.7	14.6	13.9	23.0	22.4	10.8	8.7	17.9	37.1	28.9	15.8
EV/Sales	2.8	2.4	3.0	2.6	2.9	2.9	2.4	1.8	2.2	3.5	2.6	2.5
Based on year-low share price												
P/E	**20.6**	**14.1**	**12.6**	**11.8**	**45.5**	**17.2**	**10.4**	**6.8**	**32.0**	**83.7**	**17.5**	**18.7**
P/B	**2.5**	**2.3**	**2.9**	**2.1**	**2.4**	**2.1**	**2.2**	**1.1**	**1.5**	**1.9**	**1.1**	**2.2**
EV/EBITDA	10.4	8.3	9.1	7.5	14.9	12.5	6.4	4.0	11.4	21.6	12.5	9.5
EV/Sales	1.5	1.5	1.9	1.4	1.9	1.6	1.4	0.8	1.4	2.1	1.1	1.5

Source: Company reports, BofA Global Research

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Exhibit 15: ASMPT's P/E multiple at low-20x range, which is broadly lower than global peers' (BESI, Hanmi Semi, etc.) despite strong topline growth and stable margins

ASMPT – Valuation comparison

	Ticker	Rating		Price	Mcap	P/E			P/Book			EV/Sales			ROE			Div yield	
				Local	US$bn	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY27E	FY28E
ASMPT	**ASMVF**	**C-1-7**	**Buy**	**118.30**	**6.3**	**26.6**	**18.3**	**12.8**	**2.8**	**2.5**	**2.2**	**2.5**	**1.8**	**1.3**	**11%**	**14%**	**18%**	**2.3%**	**2.7%**
ASM Intl.	ASMXF	B-1-7	Buy	743.20	40.9	30.5	21.5	15.9	7.2	5.8	4.5	8.2	6.0	4.7	27%	30%	32%	0.7%	0.8%
BE Semi	BESVF	C-2-7	Neutral	163.05	14.7	37.1	24.7	21.9	17.6	14.3	13.8	12.9	9.5	8.4	61%	64%	64%	4.2%	6.0%
Hanmi Semi	HNSIF	C-1-7	Buy	191,400	14.7	56.5	31.6	18.0	19.5	13.0	8.2	21.6	12.8	7.7	39%	49%	56%	1.1%	1.6%
Teradyne	TER	C-1-7	Buy	323.68	50.6	36.2	28.4	22.2	13.8	10.0	7.3	9.8	8.0	6.6	44%	42%	39%	0.2%	0.2%
Advantest	ADTTF	C-1-7	Buy	34,930	162.0	36.6	23.3	16.1	17.9	10.8	6.7	13.7	9.7	6.8	63%	58%	51%	0.3%	0.3%
ASML	ASMLF	B-1-7	Buy	1,470.00	635.9	33.6	24.3	17.0	21.8	15.9	10.8	12.2	9.5	7.2	74%	75%	75%	1.0%	1.3%
AMAT	AMAT	C-1-7	Buy	395.93	314.2	31.0	21.4	16.8	11.1	7.8	5.6	9.2	6.8	5.6	42%	43%	38%	0.6%	0.7%
Lam Research	LRCX	C-1-7	Buy	240.85	300.9	41.4	25.5	19.8	24.2	15.3	10.6	13.0	8.7	7.0	66%	73%	63%	0.5%	0.6%
KLA Tencor	KLAC	C-1-7	Buy	153.66	200.8	40.9	28.2	23.9	31.7	19.1	12.8	14.9	11.2	9.5	90%	85%	64%	0.6%	0.7%
Tokyo Electron	TOELF	C-1-7	Buy	9,805	145.3	28.5	20.7	16.3	8.6	6.9	5.6	6.6	5.4	4.3	34%	37%	38%	2.4%	3.1%
Wonik IPS	XRHQF	C-3-7	U/P	93,800	3.7	19.1	23.9	24.9	3.8	3.3	3.0	3.7	3.2	3.2	22%	15%	13%	0.3%	0.3%
Fanuc	FANUF	C-2-8	Neutral	5,908	36.8	23.1	23.8	23.5	2.8	2.7	2.6	5.0	4.7	4.6	12%	12%	11%	2.5%	2.6%

Source: Bloomberg, companies reports, BofA Global Research estimates. Mcap = market capitalization. Div = dividend.

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Exhibit 16: DCF fair value of HK$250 is based on 9.7% WACC, 4% perpetual growth and ~15-20% long-term OPM

ASMPT – Discounted cash flow (DCF) valuation as a cross-check

HK$mn, HK$	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Sales	13,229	14,146	19,651	27,226	37,619	45,143	51,915	59,546
Sales growth	-10%	7%	39%	39%	38%	20%	15%	15%
OP	827	812	2,784	3,762	5,294	7,223	9,345	10,968
OPM	6%	6%	14%	14%	14%	16%	18%	18%
Dep &Amor	707	655	621	608	614	700	650	600
EBITDA	1,534	1,467	3,404	4,370	5,909	7,923	9,995	11,568
Capex	353	423	575	600	600	600	600	600
Increase in NWC	117	1,379	-296	282	324	100	100	100
Net working capital	6,911	8,290	7,993	8,276	8,600	8,700	8,800	8,900
Taxes	159	129	782	906	1,289	1,806	2,336	2,742
Free cash flow	**904**	**(463)**	**2,344**	**2,583**	**3,696**	**5,417**	**6,958**	**8,126**
Discount factor at 9.7% WACC		1.00	0.91	0.83	0.76	0.69	0.63	0.57
Present value of FCF			2,137	2,146	2,801	3,742	4,383	4,666
Sum of PV FCF (a)		**19,875**						
Terminal value								
PV of TV avg (b)		**82,516**						T Value
12x EV/EBITDA		*79,710*						*138,821*
4% perpetual growth		*85,322*						*148,595*
Biz value total (A = a+b)		**102,391**						
Net cash & minority int (B)		2,166						
Shareholder value total (A+B)		**104,556**						
Per share value (HK$)		**250.2**						
Shares (mn)		418						
BofA PO		250.0						
Current share price		118.3						
PO over share price		111%						

Source: Company, BofA Global Research estimates

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Exhibit 17: 2026-28E turnaround/growth should be mostly semis equipment driven, led by TCB (positive impact of AI growth theme) and partially wire bonders and even SMT but still mid-cycle range

ASMPT – Sales growth and mix forecast

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales by product																
Semi Solution	2,144	2,892	2,934	2,934	3,227	3,712	4,268	4,695	13,614	10,105	6,365	6,806	7,791	10,904	15,902	25,200
SMT	1,823	2,044	2,313	2,568	2,619	2,750	2,948	3,007	8,434	9,259	8,332	6,423	6,356	8,748	11,323	12,420
Materials	0	0	0	0	0	0	0	0	na	na	na	na	na	na	na	na
Total sales	**3,967**	**4,936**	**5,247**	**5,502**	**5,846**	**6,461**	**7,216**	**7,702**	**22,048**	**19,364**	**14,697**	**13,229**	**14,146**	**19,651**	**27,226**	**37,619**
Sales growth QoQ																
Semi Solution	12%	35%	1%	0%	10%	15%	15%	10%								
SMT	-11%	12%	13%	11%	2%	5%	7%	2%								
Materials	na	na	na	na	0%	0%	0%	0%								
Total sales	**0%**	**24%**	**6%**	**5%**	**0%**	**0%**	**0%**	**0%**								
Sales growth YoY																
Semi Solution	8%	44%	56%	54%	51%	28%	45%	60%	71%	-26%	-37%	7%	14%	40%	46%	58%
SMT	61%	47%	30%	25%	44%	35%	27%	17%	25%	10%	-10%	-23%	-1%	38%	29%	10%
Materials	na	na	na	na	na	na	na	na	na	na	na	na	na	na	na	na
Total sales	**27%**	**45%**	**43%**	**39%**	**47%**	**31%**	**38%**	**40%**	**31%**	**-12%**	**-24%**	**-10%**	**7%**	**39%**	**39%**	**38%**
Sales mix																
Semi Solution	54%	59%	56%	53%	55%	57%	59%	61%	62%	52%	43%	51%	55%	55%	58%	67%
SMT	46%	41%	44%	47%	45%	43%	41%	39%	38%	48%	57%	49%	45%	45%	42%	33%
Materials	0%	0%	0%	0%	0%	0%	0%	0%	na	na	na	na	na	na	na	na
Sales mix total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
FX (HK$/USD, period-avg)	7.81	7.79	7.84	7.80	7.80	7.80	7.80	7.80	7.77	7.83	7.83	7.80	7.79	9.11	7.80	7.80
US$mn sales - billings	508	634	669	705	750	828	925	987	2,836	2,473	1,877	1,695	1,815	2,158	3,490	4,823

Source: Company, BofA Global Research estimates

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Exhibit 18: We expect stable margins trend in 2026-28E (GM 42-43%, OPM 14-15%)

ASMPT – Margin outlook

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
GP margin																
Semi Solution	46%	47%	47%	46%	46%	46%	47%	46%	44%	45%	41%	45%	43%	46%	46%	47%
SMT	31%	37%	38%	36%	35%	35%	36%	35%	36%	37%	38%	35%	32%	36%	35%	35%
Gross margin total	**39%**	**42%**	**43%**	**41%**	**41%**	**41%**	**43%**	**42%**	**40%**	**41%**	**39%**	**40%**	**38%**	**42%**	**42%**	**43%**
Operating profit																
Semi Solution	307	604	596	528	549	594	726	751	3,046	1,654	-42	305	592	2,035	2,619	4,375
SMT	140	284	409	385	367	357	413	406	1,377	1,826	1,433	599	402	1,219	1,543	1,742
OP total	**384**	**791**	**840**	**813**	**815**	**851**	**1,038**	**1,057**	**4,275**	**3,359**	**1,287**	**828**	**885**	**2,829**	**3,762**	**5,718**
OP margin																
Semi Solution	14%	21%	20%	18%	17%	16%	17%	16%	22.4%	16.4%	-0.7%	4.5%	7.6%	18.7%	16.5%	17.4%
SMT	8%	14%	18%	15%	14%	13%	14%	14%	16.3%	19.7%	17.2%	9.3%	6.3%	13.9%	13.6%	14.0%
Overall OPM	**10%**	**16%**	**16%**	**15%**	**14%**	**13%**	**14%**	**14%**	**19.4%**	**17.3%**	**8.8%**	**6.3%**	**6.3%**	**14.4%**	**13.8%**	**15.2%**
GPM minus OPM																
Semi Solution	32%	26%	26%	28%	29%	30%	30%	30%	21%	28%	42%	41%	36%	28%	30%	29%
SMT	24%	23%	21%	21%	21%	22%	22%	22%	19%	18%	21%	25%	26%	22%	22%	21%
Overall GPM - OPM	**30%**	**26%**	**27%**	**27%**	**27%**	**28%**	**28%**	**28%**	**21%**	**24%**	**31%**	**34%**	**32%**	**27%**	**28%**	**28%**
Reported opex																
Selling expenses	398	451	482	501	517	496	530	551	1,802	1,705	1,607	1,494	1,584	1,832	2,095	2,319
General & adm exp	292	305	351	372	321	335	386	409	1,009	998	1,015	1,160	1,073	1,318	1,450	1,637
R&D	491	550	578	563	540	605	636	619	1,954	2,026	2,048	2,077	2,056	2,183	2,401	2,702
Operating exp total	**1,181**	**1,306**	**1,411**	**1,461**	**1,586**	**1,818**	**2,029**	**2,155**	**4,633**	**4,607**	**4,486**	**4,462**	**4,542**	**5,358**	**7,588**	**11,389**
Opex to sales	*30%*	*26%*	*27%*	*27%*	*27%*	*28%*	*28%*	*28%*	*21%*	*24%*	*31%*	*34%*	*32%*	*27%*	*28%*	*30%*
Selling expenses to total sales	*10%*	*9%*	*9%*	*9%*	*9%*	*8%*	*7%*	*7%*	*8%*	*9%*	*11%*	*11%*	*11%*	*9%*	*8%*	*6%*
Opex change YoY																
Selling expenses	9%	15%	17%	20%	30%	10%	10%	10%	15%	-5%	-6%	-7%	6%	16%	14%	11%
General & adm exp	11%	15%	68%	10%	10%	10%	10%	10%	3%	-1%	2%	14%	-7%	23%	10%	13%
R&D	0%	5%	8%	12%	10%	10%	10%	10%	19%	4%	1%	1%	-1%	6%	10%	13%
Operating exp total	**10%**	**14%**	**33%**	**16%**	**34%**	**39%**	**44%**	**48%**	**14%**	**-1%**	**-3%**	**-1%**	**2%**	**18%**	**42%**	**50%**

Source: Company, BofA Global Research estimates

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Exhibit 19: We expect solid topline growth in 2026-28E (up nearly 40% pa) with steadily improving margins (GM 41%+, OPM 14%)
ASMPT – Income statement

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	**3,967**	**4,936**	**5,247**	**5,502**	**5,846**	**6,461**	**7,216**	**7,702**	**21,948**	**19,363**	**14,697**	**13,229**	**14,146**	**19,651**	**27,226**	**37,619**
Sales growth QoQ	*0%*	*24%*	*6%*	*5%*	*6%*	*11%*	*12%*	*7%*								
Sales growth YoY	*27%*	*45%*	*43%*	*39%*	*47%*	*31%*	*38%*	*40%*	*30%*	*-12%*	*-24%*	*-10%*	*7%*	*39%*	*39%*	*38%*
COGS	2,401	2,843	3,038	3,228	3,445	3,792	4,149	4,490	13,040	11,398	8,924	7,940	8,793	11,509	15,875	21,508
Gross profit	**1,566**	**2,092**	**2,209**	**2,274**	**2,401**	**2,670**	**3,067**	**3,212**	**8,908**	**7,966**	**5,774**	**5,289**	**5,354**	**8,142**	**11,350**	**16,112**
Gross margin	39.5%	42.4%	42.1%	41.3%	41.1%	41.3%	42.5%	41.7%	40.6%	41.1%	39.3%	40.0%	37.8%	41.4%	41.7%	42.8%
Operating expense	**1,181**	**1,306**	**1,411**	**1,461**	**1,586**	**1,818**	**2,029**	**2,155**	**4,633**	**4,607**	**4,486**	**4,462**	**4,542**	**5,358**	**7,588**	**10,818**
Opex growth YoY	*10%*	*14%*	*33%*	*16%*	*34%*	*39%*	*44%*	*48%*	*14%*	*-1%*	*-3%*	*-1%*	*2%*	*18%*	*42%*	*43%*
Opex to sales	*30%*	*26%*	*27%*	*27%*	*27%*	*28%*	*28%*	*28%*	*21%*	*24%*	*31%*	*34%*	*32%*	*27%*	*28%*	*29%*
Other income	0	0	0	-25	-207	-382	-477	-576	133	123	183	269	171	-25	-1,642	-4,348
Selling expenses	398	451	482	501	517	496	530	551	1,802	1,705	1,607	1,494	1,584	1,832	2,095	2,304
G&A expenses	292	305	351	372	321	335	386	409	1,009	998	1,015	1,160	1,073	1,318	1,450	1,566
R&D expenses	491	550	578	563	540	605	636	619	1,954	2,026	2,048	2,077	2,056	2,183	2,401	2,599
R&D to sales	*12%*	*11%*	*11%*	*10%*	*9%*	*9%*	*9%*	*8%*	*9%*	*10%*	*14%*	*16%*	*15%*	*11%*	*9%*	*7%*
Operating profit	**385**	**787**	**799**	**813**	**815**	**851**	**1,038**	**1,057**	**4,275**	**3,359**	**1,287**	**827**	**812**	**2,784**	**3,762**	**5,294**
OP margin	9.7%	15.9%	15.2%	14.8%	13.9%	13.2%	14.4%	13.7%	19.5%	17.3%	8.8%	6.3%	5.7%	14.2%	13.8%	14.1%
Net non-opr expenses	**-60**	**141**	**27**	**35**	**35**	**35**	**35**	**35**	**183**	**-54**	**251**	**325**	**-375**	**143**	**140**	**140**
Other gains	12	34	15	15	15	15	15	15	-64	174	-73	-112	1,028	76	60	60
Restructuring costs	1	0	0	0	0	0	0	0	0	0	40	7	341	1	0	0
Financial costs	-49	175	42	50	50	50	50	50	118	120	138	206	312	218	200	200
Pre-tax income	445	645	772	778	780	816	1,003	1,022	4,092	3,413	1,036	502	1,187	2,640	3,622	5,154
Tax expense	121	227	239	195	195	204	251	256	917	795	325	159	129	782	906	1,289
Effective tax rate	27.2%	35.3%	30.9%	25.0%	25.0%	25.0%	25.0%	25.0%	22.4%	23.3%	31.3%	31.8%	10.9%	29.6%	25.0%	25.0%
Net profit incl. minority int	**324**	**418**	**533**	**584**	**585**	**612**	**752**	**767**	**3,175**	**2,618**	**712**	**342**	**1,058**	**1,859**	**2,717**	**3,866**
Minority interest	-3	-3	0	2	2	2	2	2	6	-2	-4	-3	0	-3	8	8
NP after minority interest	**326**	**421**	**533**	**582**	**583**	**610**	**750**	**765**	**3,169**	**2,620**	**715**	**345**	**1,058**	**1,862**	**2,709**	**3,858**
NP margin	8%	9%	10%	11%	10%	9%	10%	10%	14%	14%	5%	3%	7%	9%	10%	10%
ROE (Annualized)	11%	14%	18%	20%	20%	21%	26%	26%	22%	17%	5%	2%	7%	11%	14%	18%
EPS - Basic (HK$)	0.78	1.01	1.28	1.39	1.40	1.46	1.80	1.83	7.72	6.35	1.74	0.84	2.54	4.46	6.48	9.23
EPS - Diluted (HK$)	**0.78**	**1.00**	**1.27**	**1.39**	**1.39**	**1.46**	**1.79**	**1.83**	**7.70**	**6.34**	**1.73**	**0.83**	**2.53**	**4.45**	**6.47**	**9.22**
FD EPS growth YoY	288%	220%	-297%	-48%	79%	45%	41%	31%	95%	-18%	-73%	-52%	204%	76%	45%	42%
DPS (declared, HK$)	0.00	0.97	0.00	1.20	0.00	1.00	0.00	1.70	3.90	3.20	1.39	0.67	1.39	2.17	2.70	3.20
Pay-out ratio	0%	54%	0%	45%	0%	35%	0%	47%	51%	50%	80%	80%	55%	49%	42%	35%
Total dividends (declared, HK$mn)	0	405	0	501	0	418	0	710	1,602	1,318	573	278	579	906	1,128	1,337
Div. payments - cash out (HK$mn)	0	471	405	0	501	0	418	0	1,351	1,604	1,318	467	241	876	919	1,211
Shares (mn)																
Outstanding	418	418	418	418	418	418	418	418	411	412	412	414	416	418	418	418
Weighted average	418	418	418	418	418	418	418	418	411	412	412	413	416	418	418	418
Diluted	418	419	419	419	419	419	419	419	412	413	413	415	417	419	419	419
Overhang (CB, etc)	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1	1

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 20: Clean balance sheet with net cash position (HK$3.0bn as of 3Q26)
ASMPT – Balance sheet

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets																
Cash and Equivalence	4,905	5,144	5,402	5,661	5,924	6,187	6,673	7,159	4,681	4,263	4,434	4,418	4,666	5,661	7,159	9,477
Trade Receivables	4,839	5,433	5,596	5,759	5,673	5,586	5,670	5,754	5,887	4,565	3,994	3,771	4,245	5,759	5,754	5,749
Inventories	6,776	7,250	7,177	7,105	7,371	7,637	7,485	7,332	7,456	7,450	6,315	5,989	6,302	7,105	7,332	7,602
Other Current Assets	1,556	816	820	824	828	833	837	841	227	238	498	917	2,296	824	841	858
Total Current Assets	**18,075**	**18,642**	**18,996**	**19,349**	**19,796**	**20,243**	**20,664**	**21,085**	**18,251**	**16,515**	**15,241**	**15,095**	**17,508**	**19,349**	**21,085**	**23,685**
Property, Plant & Equipment	2,065	2,042	2,038	2,034	2,031	2,028	2,027	2,025	2,337	2,231	2,190	2,117	2,087	2,034	2,025	2,011
Intangible Assets	782	754	752	750	748	746	744	743	1,035	1,042	1,020	1,003	810	750	743	735
Goodwill	738	731	727	723	720	716	712	709	927	928	975	954	746	723	709	695
Investment in JV	2,114	2,151	2,162	2,172	2,183	2,194	2,205	2,216	1,386	1,516	1,521	1,672	2,076	2,172	2,216	2,261
Other Non-current Assets	2,926	2,916	2,923	2,931	2,938	2,945	2,953	2,960	2,565	2,544	3,016	2,832	2,936	2,931	2,960	2,990
Total Non Current Assets	**8,624**	**8,594**	**8,602**	**8,610**	**8,620**	**8,630**	**8,641**	**8,653**	**8,250**	**8,261**	**8,722**	**8,579**	**8,655**	**8,610**	**8,653**	**8,691**
Total Assets	**26,700**	**27,236**	**27,597**	**27,959**	**28,416**	**28,872**	**29,305**	**29,738**	**26,501**	**24,777**	**23,963**	**23,673**	**26,163**	**27,959**	**29,738**	**32,376**
Liabilities																
Short-Term Debt	134	125	313	500	500	500	500	500	449	250	2,000	306	144	500	500	500
Bonds	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Trade Payables	4,569	5,185	5,055	4,925	5,024	5,122	4,994	4,866	5,398	3,987	3,288	2,968	3,954	4,925	4,866	4,808
Other Current Liabilities	680	762	765	769	773	777	781	785	1,042	1,010	724	798	599	769	785	800
Total Current Liabilities	**5,384**	**6,071**	**6,133**	**6,195**	**6,297**	**6,399**	**6,275**	**6,151**	**6,889**	**5,247**	**6,013**	**4,072**	**4,697**	**6,195**	**6,151**	**6,108**
Long-Term Debt	2,188	2,125	2,063	2,000	2,000	2,000	2,000	2,000	2,250	2,000	0	2,375	2,250	2,000	2,000	2,000
Deferred Tax Liability	55	48	48	48	47	47	47	47	181	148	121	101	62	48	47	46
Other Long-Term Liabilities	1,759	1,687	1,696	1,704	1,713	1,721	1,730	1,738	1,769	1,524	2,025	1,834	1,830	1,704	1,738	1,773
Total Long-Term Liabilities	**4,001**	**3,860**	**3,806**	**3,752**	**3,760**	**3,768**	**3,776**	**3,785**	**4,200**	**3,672**	**2,146**	**4,310**	**4,142**	**3,752**	**3,785**	**3,819**
Total Liabilities	**9,385**	**9,931**	**9,939**	**9,946**	**10,057**	**10,167**	**10,052**	**9,936**	**11,089**	**8,919**	**8,159**	**8,382**	**8,839**	**9,946**	**9,936**	**9,927**
Equity																
Share Capital	42	42	42	42	42	42	42	42	41	41	41	42	42	42	42	42
Dividend Reserve	439	407	454	501	459	418	564	710	1,073	784	323	133	472	501	710	835
Other Reserves	16,780	16,856	17,163	17,470	17,857	18,245	18,648	19,050	14,161	14,913	15,326	15,013	16,704	17,470	19,050	21,571
Total Shareholders' Equity (ex-minority)	**17,261**	**17,305**	**17,659**	**18,013**	**18,359**	**18,705**	**19,254**	**19,802**	**15,275**	**15,739**	**15,691**	**15,188**	**17,218**	**18,013**	**19,802**	**22,449**
Non-controlling Interest	53	0	0	0	0	0	0	0	136	119	113	103	107	0	0	0
Net assets (incl. minority interest)	**17,315**	**17,305**	**17,659**	**18,013**	**18,359**	**18,705**	**19,254**	**19,802**	**15,412**	**15,858**	**15,804**	**15,292**	**17,324**	**18,013**	**19,802**	**22,449**
Total Liabilities & Equity	**26,700**	**27,236**	**27,597**	**27,959**	**28,416**	**28,872**	**29,305**	**29,738**	**26,501**	**24,777**	**23,963**	**23,673**	**26,163**	**27,959**	**29,738**	**32,376**
Key BS items																
BVPS (HK$)	41	41	42	43	44	45	46	47	37	38	38	37	41	43	47	54
Gross debt	2,322	2,250	2,375	2,500	2,500	2,500	2,500	2,500	2,699	2,250	2,000	2,681	2,394	2,500	2,500	2,500
Net debt	-2,583	-2,894	-3,027	-3,161	-3,424	-3,687	-4,173	-4,659	-1,983	-2,013	-2,434	-1,737	-2,272	-3,161	-4,659	-6,977
Cash & cash equivalents	4,905	5,144	5,402	5,661	5,924	6,187	6,673	7,159	4,681	4,263	4,434	4,418	4,666	5,661	7,159	9,477
Net working capital	7,921	7,553	7,773	7,993	8,075	8,157	8,216	8,276	7,129	7,256	6,794	6,911	8,290	7,993	8,276	8,600
Cash spend for NWC increase	369	369	-220	-220	-82	-82	-59	-59	-1,569	-127	462	-117	-1,379	296	-282	-324
Cash spend for debt repayments	-72	-72	125	125	0	0	0	0	-349	-449	-250	681	-287	106	0	0

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 21: Low capex burden (HK$0.6bn p.a. in 2026-28E), supporting strong OCF-to-FCF conversion
ASMPT – Cash flow statement

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating cash flow																
Net income	324	418	533	584	585	612	752	767	3,175	2,618	712	342	1,058	1,859	2,717	3,866
Depreciation & amortization	156	156	154	154	153	153	151	151	738	739	713	707	655	621	608	614
Changes in working capital	369	369	-220	-220	-82	-82	-59	-59	-1,569	-127	462	-117	-1,379	296	-282	-324
Others	0	0	0	0	0	0	0	0	199	-287	461	152	0	0	0	0
Operating CF total (a)	**848**	**942**	**467**	**518**	**656**	**683**	**844**	**859**	**2,543**	**2,943**	**2,348**	**1,084**	**335**	**2,776**	**3,043**	**4,156**
Investing cash flow																
Capex for PP&E	-138	-138	-150	-150	-150	-150	-150	-150	-337	-422	-377	-353	-423	-575	-600	-600
Investments	0	0	0	0	0	0	0	0	-188	-179	-25	0	0	0	0	0
Others	0	0	0	0	0	0	0	0	6	2	-205	-304	0	0	0	0
Investing CF total (b)	**-138**	**-138**	**-150**	**-150**	**-150**	**-150**	**-150**	**-150**	**-519**	**-599**	**-607**	**-657**	**-423**	**-575**	**-600**	**-600**
Financing cash flow																
Stock issuance	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends	-235	-235	-203	-203	-251	-251	-209	-209	-1,351	-1,610	-1,035	-468	-241	-876	-919	-1,211
Change in debt	-72	-72	125	125	0	0	0	0	-349	-449	-250	681	-287	106	0	0
Others	-165	-259	11	-25	55	-68	1	-14	-15	-495	-332	-564	865	-438	-26	-27
Financing CF total (c)	**-472**	**-566**	**-67**	**-103**	**-196**	**-318**	**-207**	**-223**	**-1,716**	**-2,553**	**-1,618**	**-351**	**336**	**-1,207**	**-945**	**-1,238**
CF adjustments																
Net cash flow (a+b+c)	239	239	251	265	310	215	487	485	308	-209	123	76	248	993	1,498	2,318
Cash at beginning of the period	4,666	4,905	5,144	5,402	5,661	5,924	6,187	6,673	4,451	4,681	4,263	4,434	4,418	4,666	5,661	7,159
Effect of FX	0	0	0	0	0	0	0	0	-78	-209	48	-93	0	0	0	0
Cash for period end	**4,905**	**5,144**	**5,394**	**5,667**	**5,972**	**6,139**	**6,674**	**7,158**	**4,681**	**4,263**	**4,434**	**4,418**	**4,666**	**5,659**	**7,159**	**9,477**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 22: We assume high FCF generation ex-NWC change (HK$2.0-$4.0bn+ pa) in 2026-28E on the back of EBITDA recovery (HK$3-6bn+ pa) and normalized working capital and disciplined capex
ASMPT – Free cash flow (FCF) analysis

(HK$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	3,967	4,936	5,247	5,502	5,846	6,461	7,216	7,702	21,948	19,363	14,697	13,229	14,146	19,651	27,226	37,619
OP	385	787	799	813	815	851	1,038	1,057	4,275	3,359	1,287	827	812	2,784	3,762	5,294
Dep/amortization	156	156	154	154	153	153	151	151	738	739	713	707	655	621	608	614
EBITDA	**541**	**942**	**953**	**968**	**968**	**1,004**	**1,190**	**1,208**	**5,012**	**4,098**	**2,001**	**1,534**	**1,467**	**3,404**	**4,370**	**5,909**
Capex	**-138**	**-138**	**-150**	**-150**	**-150**	**-150**	**-150**	**-150**	**-337**	**-422**	**-377**	**-353**	**-423**	**-575**	**-600**	**-600**
Investments	0	0	0	0	0	0	0	0	-188	-179	-25	0	0	0	0	0
NWC increase	369	369	-220	-220	-82	-82	-59	-59	-1,569	-127	462	-117	-1,379	296	-282	-324
Taxes	-121	-227	-239	-195	-195	-204	-251	-256	-917	-795	-325	-159	-129	-782	-906	-1,289
FCF	**651**	**946**	**344**	**403**	**541**	**568**	**729**	**744**	**2,001**	**2,575**	**1,736**	**904**	**-463**	**2,344**	**2,583**	**3,696**
Adj FCF ex NWC chg	**282**	**577**	**564**	**623**	**623**	**650**	**789**	**803**	**3,570**	**2,702**	**1,274**	**1,022**	**916**	**2,047**	**2,865**	**4,020**
FCF US$mn equiv	83	121	44	52	69	73	94	95	257	329	222	116	-59	257	331	474
Adj FCF ex NWC chg	36	74	72	80	80	83	101	103	459	345	163	131	118	225	367	515

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

ASMPT (ASMVF)

Our PO of HK$250 is derived from 33x 2027-28E P/E. The 33x is above the long-term historical average of 25x (2014-23) but much below the 2024-25 high (over 100x due to exceptionally low EPS vs the stock rally). We estimate ASMPT's 2027-28 EPS to reach upcycle level (HK$6-9), which should warrant a fair P/E of 30-40x as seen in 2023. Korea/Europe peers (backend equipment suppliers) already trade at 30-50x or higher based on 2027-28 EPS consensus. Upside risk is stronger TCB orders for memory and logic, while downside risk is mostly related to market-share loss to Korea/Europe competitors.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Corp.	XUMIF	2303 TT	Haas Liu
	United Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

Valuation Toolkit	Numerator	Denominator

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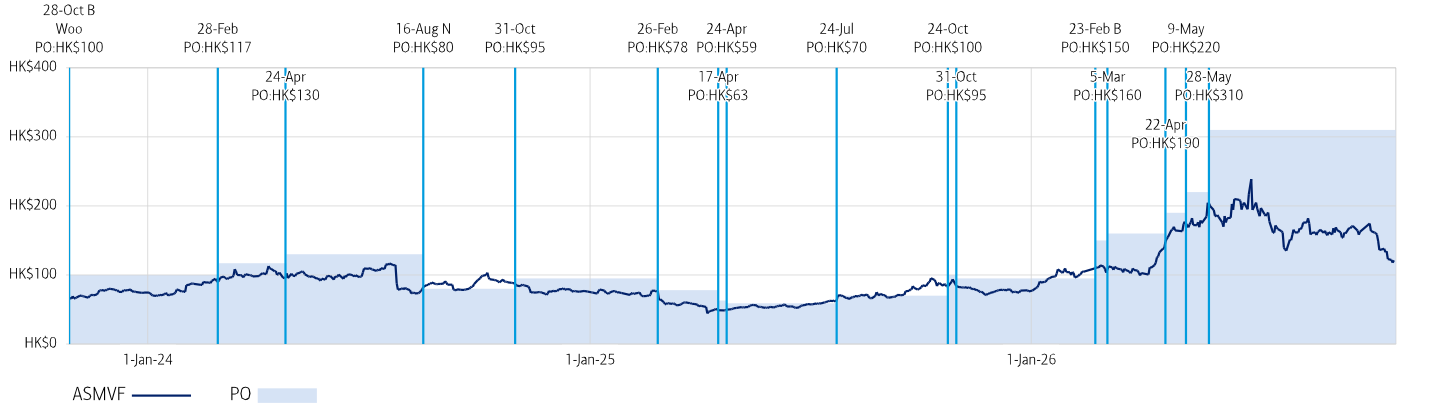
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B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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